Microsoft (MSFT)

Technology / Software - Infrastructure

StockRover
Stock Report | December 28, 2024

$430.53 **-$7.58 (-1.73%)** as of Friday's close

52-wk Range
$366.50 $468.35

Cap ($M USD)	P/E	EPS (1Y)	Dividend	Last Filing
$3,200,939	**35.6**	**17.3%**	**$3.32**	**09/30/24**
Sales ($M)	**Forward P/E**	**Sales (1Y)**	**Div. Yield**	**Next Earnings**
254,190	**28.5**	**16.4%**	**0.8%**	**02/04/25**

Dividend Adjusted Return *Dec 27, 2023 - Dec 27, 2024*

MSFT 430.53 (+15.8%) Technology 635.50 (+31.6%) S&P 500 5970.84 (+26.7%)



MSFT has underperformed the S&P 500 by -10.9% in the past year.

MSFT has underperformed its sector by -15.8% in the past year.

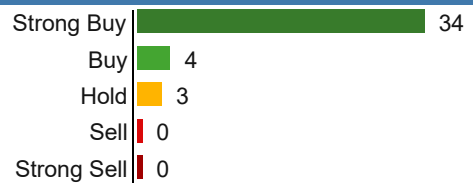
The Technology sector has outperformed the market by 5.0% in the past year.

ANALYST CONSENSUS

Strong Buy

The consensus rating is unchanged from 1 month ago.





QUANTITATIVE SCORES

Fair Value	$450.09
Margin of Safety	5%

The Margin of Safety is the difference between a company's Fair Value and the current price. See more on page 8.

Value Score 64

Value Score: Our value score looks at EV/EBITDA, P/E, P/S, P/TB (Price/Tangible Book) and EPS Predictability. P/S and P/TB are compared within a sector. Other metrics are compared across all stocks

Quality Score 99

Quality Score: Our quality score compares profitability and balance sheet metrics to find high quality companies using ROIC, Net Margin, Gross Margin, Interest Coverage, and Debt / Equity metrics.

Growth Score 98

Growth Score: Our growth score looks at the 5 year history and the forward estimates for EBITDA, Sales, and EPS growth, ranking the best companies across all stocks.

Sentiment Score 76

Sentiment Score: Our sentiment score finds stocks in favor by analyzing Short Interest, returns in key periods over the last year, Price vs. 52-wk High, Days Since 52-wk High and MACD signals.

BUSINESS SUMMARY

Microsoft develops and licenses consumer and enterprise software. It is known for its Windows operating systems and Office productivity suite. The company is organized into three equally sized broad segments: productivity and business processes (legacy Microsoft Office, cloud-based Office 365, Exchange, SharePoint, Skype, LinkedIn, Dynamics), intelligence cloud (infrastructure- and platform-as-a-service offerings Azure, Windows Server OS, SQL Server), and more personal computing (Windows Client, Xbox, Bing search, display advertising, and Surface laptops, tablets, and desktops).

Employees 228,000 **Homepage** www.microsoft.com **Headquarters** Redmond, WA

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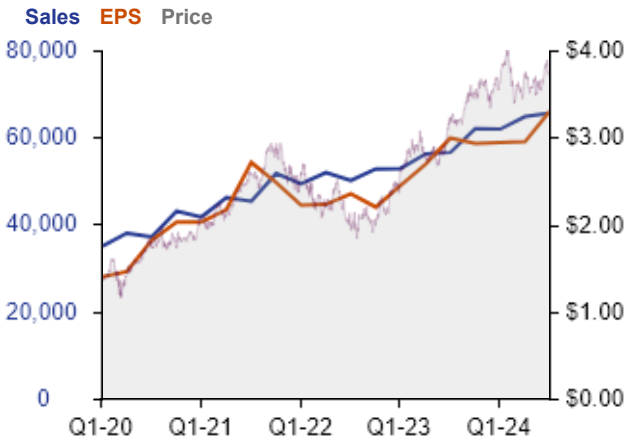
VALUATION SUMMARY

	MSFT	Industry	S&P 500
Value Score	64	46	70
Price / Earnings	35.6	46.3	31.2
Price / Sales	12.7	9.6	3.2
Price / Free Cash Flow	44.3	42.4	39.3
Price / Book	11.1	10.8	5.4
Price / Tangible Book	22.6	111.8	500+
EV / EBITDA	22.8	23.0	26.0
EPS Predict. Pctl.	87	57	69
Piotroski F Score	4	6	8
5-Year P/E Range	22.2		42.6
5-Year P/B Range	9.5		18.1
5-Year P/S Range	8.1		15.5



GROWTH SUMMARY

	MSFT	Industry	S&P 500
Growth Score	98	53	78
Sales Growth			
Sales Growth Next Year	14.4%	14.5%	11.5%
Sales 1-Year Chg (%)	16.4%	12.9%	16.5%
Sales 3-Year Avg (%)	13.0%	14.8%	10.8%
Sales 5-Year Avg (%)	14.4%	14.6%	13.9%
EPS Growth			
Next Yr. Growth Est.	15.6%	21.5%	14.6%
EPS 1-Year Chg (%)	17.3%	12.1%	8.5%
EPS 3-Year Avg (%)	10.6%	14.3%	8.6%
EPS 5-Year Avg (%)	17.9%	15.7%	10.4%



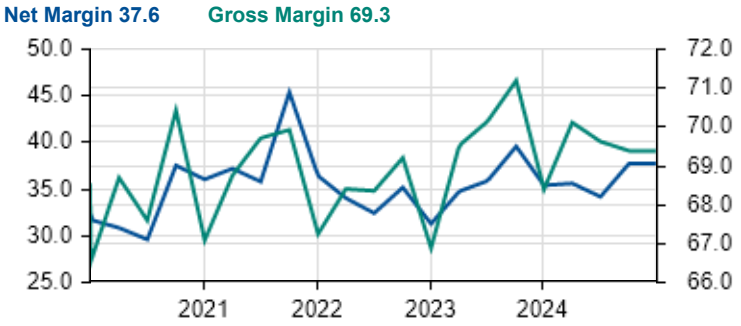
PEERS ANALYSIS SUMMARY

Ticker	Company	Cap ($M USD	P/E	Div. Yield	1M Return	1Y Return	Margin of Safety	Value Score	Growth Score	Quality Score
AAPL	Apple	$3,863,452	42.0	0.4%	8.8%	33.0%	-11%	67	86	73
NVDA	NVIDIA	$3,355,374	54.1	0.0%	1.2%	177.3%	0%	57	100	100
MSFT	Microsoft	$3,200,939	35.6	0.8%	1.8%	16.0%	5%	64	98	99
ORCL	Oracle	$472,573	41.3	1.0%	-7.5%	61.4%	19%	60	94	89
ADBE	Adobe	$196,540	36.1	-	-13.1%	-25.1%	27%	70	94	99
PLTR	Palantir Technologi…	$180,145	400.0	-	19.7%	352.7%	-31%	51	89	78
PANW	Palo Alto Networks	$122,171	48.3	-	-3.1%	25.2%	-8%	55	83	100
CRWD	CrowdStrike Holdi…	$87,438	500+	-	2.1%	38.0%	-17%	50	75	79
SNPS	Synopsys	$75,884	53.2	-	-10.4%	-5.2%	8%	60	98	100
FTNT	Fortinet	$73,640	48.3	-	2.1%	61.9%	-7%	59	99	98
SQ	Block	$55,144	53.2	-	0.2%	11.8%	2%	60	95	47
NET	Cloudflare	$37,960	-	-	11.3%	29.3%	-26%	55	64	46

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PROFITABILITY SUMMARY

	MSFT	Industry	S&P 500
Quality Score	99	50	77
Gross Margin	69.4%	66.3%	30.2%
Operating Margin	44.5%	28.6%	14.6%
Net Margin	35.6%	21.7%	10.5%
Return on Assets	19.0%	16.9%	10.3%
Return on Equity	31.5%	31.8%	34.3%
ROIC	26.8%	21.6%	23.8%



RETURNS SUMMARY

	MSFT	Industry	S&P 500
Sentiment Score	76	52	70
5-Day Return	-1.4%	-1.1%	0.7%
1-Month Return	1.8%	0.2%	-0.1%
YTD Return	15.3%	14.8%	26.8%
1-Year Return	16.0%	15.1%	26.5%
3-Year Return	29.0%	17.6%	30.2%
5-Year Return	183.2%	140.7%	98.8%
Beta 1-Year	1.19	1.19	1.00

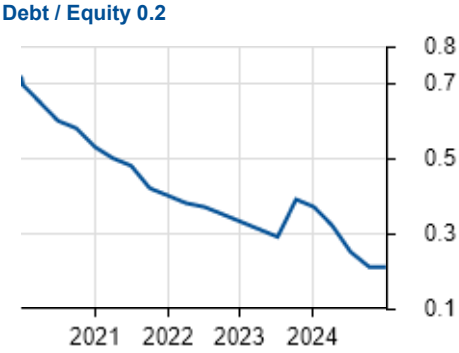


DIVIDEND

	MSFT	Industry
Dividend Yield	0.8%	0.6%
Payout Ratio	24.6%	25.7%
TTM Yield	0.7%	-
Dividend Per Share	$3.32	$2.02
Div. 1Y Chg (%)	10.7%	12.2%
Div. 3Y Avg (%)	10.2%	16.4%
Div. 5Y Avg (%)	10.2%	12.3%
Cons. Growth Years	10+	4
Div. Coverage Ratio	3.6	3.6

DEBT & EQUITY

Current Ratio	1.3
Quick Ratio	1.3
Price	$430.53
Net Cash Per Share	$2.23
Equity Per Share	$38.70
Debt / Equity	0.2
Solvency Ratio	67%
Interest Coverage	38.0
Short % of Float	0.9%
Altman Z-Score	10.0



ANALYST REVISIONS

Current Quarter EPS	
# Up Last 30 days	1.00
# Down Last 30 days	2.00
Mean Estimate	3.13
% Change (30 Days)	-0.43%

Next Quarter EPS	
# Up Last 30 days	0.00
# Down Last 30 days	2.00
Mean Estimate	3.17
% Change (30 Days)	-0.12%

MEAN ESTIMATE TREND

	Cur Qtr	Next Qtr	Cur Year	Next Year
Latest	$3.13	$3.17	$13.05	$15.09
30 Days Ago	$3.14	$3.17	$13.09	$15.12
90 Days Ago	$3.23	$3.28	$13.20	$15.34
% Change (90 Days)	-3.3%	-3.3%	-1.1%	-1.6%

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EARNINGS SURPRISES

Earnings surprise is the difference between a company's announced earnings and the average analyst estimated value. Surprises typically causes the stock price to jump and are often followed by more of the same surprise type.

Surprise Summary (Last 12 Quarters)

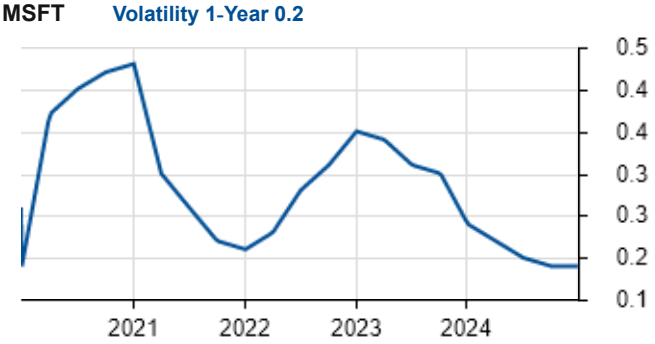
Surprise Type	Amount	Percent
Positive Quarters (> 2%)	8	66.7%
Negative Quarters (< 2%)	1	8.3%
In-Line Quarters (within 2%)	3	25.0%

Surprise Detail (Last 6 Quarters)

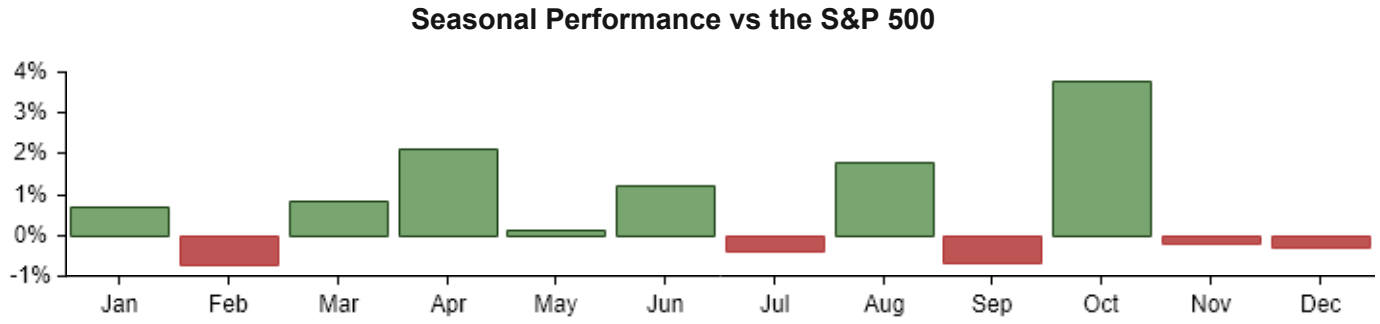
Surprise Type	Announce Date	Period End Date	Actual EPS	Est. EPS	Surprise (%)
Positive	10/30/24	09/30/24	$3.30	$3.10	6.5%
In-Line	07/30/24	06/30/24	$2.95	$2.93	0.7%
Positive	04/25/24	03/31/24	$2.94	$2.82	4.3%
Positive	01/30/24	12/30/23	$2.93	$2.78	5.4%
Positive	10/24/23	-	$2.99	$2.65	12.8%
Positive	07/25/23	-	$2.69	$2.55	5.5%

RISK

	MSFT	Industry	S&P 500
Best Monthly Return (5Y)	17.8%	17.7%	17.9%
Worst Monthly Return (5Y)	-10.6%	-11.7%	-16.4%
Beta 1-Year	1.19	1.19	1.00
Volatility 1-Year	0.20	0.18	0.12
Volatility 1Y Pctl.	18	-	-
Max Drawdown 1-Year	-15.5%	-19.6%	-8.5%
Max Drawdown 3-Year	-37.0%	-42.0%	-24.6%
Max Drawdown 5-Year	-37.1%	-38.9%	-33.5%



SEASONALITY



5-YEAR RELATIVE PERFORMANCE VS S&P 500

Relative to the S&P 500 baseline, MSFT has outperformed the S&P 500 by 84.8% in the past 5 Years.

MSFT has outperformed its sector by 14.4% in the past 5 Years.

The Technology sector has outperformed the market by 70.4% in the past 5 Years.



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Overall Rating vs. Peers **95**

Ratings scores are relative to industry groups. They compare key metrics to rank stocks vs. their competitors. For example, higher growth than peers will score high even when the absolute growth is below the market average.

Growth vs Peers

Ticker	Company	Growth Rating vs. Peers	Sales QoQ Chg.	Eps QoQ Chg.	Sales Growth Next Y.	Sales 1Y Chg (%)	Sales 3Y Avg (%)	Sales 5Y Avg (%)
NVDA	NVIDIA	100	93.6%	110.8%	51.3%	152.4%	67.0%	62.3%
MSFT	Microsoft	95	16.0%	10.4%	14.4%	16.4%	13.0%	14.4%
ORCL	Oracle	83	8.6%	23.6%	12.5%	6.4%	9.9%	6.8%
AAPL	Apple	67	6.1%	-33.6%	8.2%	2.0%	2.2%	8.5%
ADBE	Adobe	64	10.6%	23.3%	10.2%	7.9%	9.9%	13.4%

Valuation vs Peers

Ticker	Company	Valuation Rating vs. Peers	P/E	Forward P/E	PEG Trailing	P/S	P/B	5Y P/E Range
ADBE	Adobe	51	36.1	19.4	2.5	9.4	13.9	26.9 – 70.3
MSFT	Microsoft	44	35.6	28.5	2.0	12.7	11.1	22.2 – 42.6
ORCL	Oracle	38	41.3	24.0	7.3	8.7	34.4	12.7 – 47.1
NVDA	NVIDIA	35	54.1	30.9	0.6	30.0	51.0	36.6 – 257.6
AAPL	Apple	9	42.0	30.9	2.7	10.1	68.0	18.9 – 43.7

Efficiency vs Peers

Ticker	Company	Efficiency Rating vs. Peers	Gross Margin	Operating Margin	Net Margin	5Y ROE Range	5Y ROA Range
ADBE	Adobe	100	88.7%	35.9%	25.6%	28.0% – 41.1%	14.9% – 24.8%
NVDA	NVIDIA	100	75.9%	62.7%	55.7%	19.5% – 95.7%	10.2% – 88.8%
AAPL	Apple	99	46.2%	31.5%	24.0%	64.3% – 197.0%	16.6% – 29.8%
MSFT	Microsoft	99	69.4%	44.5%	35.6%	31.5% – 44.7%	15.1% – 22.2%
ORCL	Oracle	93	71.3%	31.5%	21.2%	-905.4% – 792.5%	5.0% – 11.8%

Financial Strength vs Peers

Ticker	Company	Financial Str. Rating vs. Peers	Debt / Equity	Interest Coverage	Quick Ratio	Intangibles %	Solvency Ratio	Short % of Float
NVDA	NVIDIA	96	0.2	293.8	3.6	5.8%	245%	1.1%
ADBE	Adobe	82	0.4	46.9	1.1	45.8%	44%	1.3%
MSFT	Microsoft	79	0.2	38.0	1.3	27.9%	67%	0.9%
AAPL	Apple	57	1.9	-	0.8	-	40%	1.0%
ORCL	Oracle	57	6.5	4.8	0.8	45.7%	16%	1.3%

Dividends vs Peers

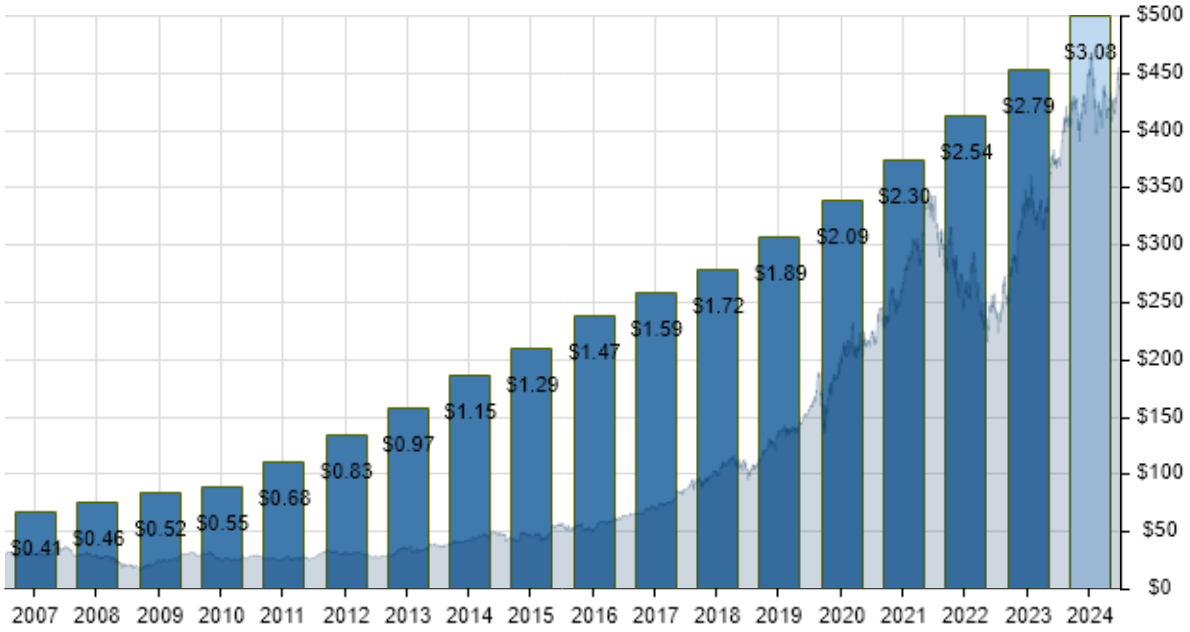
Ticker	Company	Dividends Rating vs. Peers	Div. Yield	TTM Yield	Price	Div. Per Share	Consecutive Div. Growth Years	Payout Ratio
MSFT	Microsoft	73	0.8%	0.7%	$430.53	$3.32	10+	24.6%
NVDA	NVIDIA	42	0.0%	0.0%	$137.01	$0.04	0	1.1%
AAPL	Apple	41	0.4%	0.4%	$255.59	$1.00	10+	16.0%
ORCL	Oracle	27	1.0%	1.0%	$168.96	$1.60	10+	38.0%
ADBE	Adobe	-	-	-	$446.48	-	0	0.0%

Momentum vs Peers

Ticker	Company	Momentum Rating vs. Peers	1M Return	3M Return	6M Return	YTD Return	1Y Return	Beta 1Y	Volatility 1Y	Price vs 52-wk High (%)
AAPL	Apple	94	8.8%	12.3%	19.6%	33.4%	33.0%	0.97	0.22	98.3%
NVDA	NVIDIA	92	1.2%	12.9%	10.5%	176.7%	177.3%	2.67	0.51	89.6%
ORCL	Oracle	68	-7.5%	0.4%	21.1%	62.2%	61.4%	1.39	0.31	85.2%
MSFT	Microsoft	63	1.8%	0.8%	-4.6%	15.3%	16.0%	1.19	0.20	91.9%
ADBE	Adobe	16	-13.1%	-13.4%	-18.3%	-25.2%	-25.1%	1.28	0.37	70.0%

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DIVIDEND DETAIL



CALENDAR YEAR DIVIDEND HISTORY

Year	Ex-Dividend	Pay Date	Text	Amount
2025 Dividends				**$0.83**
	02/20/25	03/13/25	Regular	$0.83
2024 Dividends				**$3.08**
	11/21/24	12/12/24	Regular	$0.83
	08/15/24	09/12/24	Regular	$0.75
	05/15/24	06/13/24	Regular	$0.75
	02/14/24	03/14/24	Regular	$0.75
2023 Dividends				**$2.79**
	11/15/23	12/14/23	Regular	$0.75
	08/16/23	09/14/23	Regular	$0.68
	05/17/23	06/08/23	Regular	$0.68
	02/15/23	03/09/23	Regular	$0.68
2022 Dividends				**$2.54**
	11/16/22	12/08/22	Regular	$0.68
	08/17/22	09/08/22	Regular	$0.62
	05/18/22	06/09/22	Regular	$0.62
	02/16/22	03/10/22	Regular	$0.62
2021 Dividends				**$2.30**
	11/17/21	12/09/21	Regular	$0.62
	08/18/21	09/09/21	Regular	$0.56
	05/19/21	06/10/21	Regular	$0.56
	02/17/21	03/11/21	Regular	$0.56
2020 Dividends				**$2.09**
	11/18/20	12/10/20	Regular	$0.56

UPCOMING DIVIDEND

Ex-Dividend Date	02/20/25
Payment Date	03/13/25
Amount	$0.83
Type	Regular

DIVIDEND RATE

Regular Dividend	$0.83
Annual Dividend Rate	$3.32
Annual Dividend Yield	0.8%
Trailing 12 Months Dividends	$3.08
Trailing 12 Months Yield	0.7%

STATISTICS

Payout Ratio	24.6
Dividend Coverage Ratio	3.6
Consecutive Growth Years	10+
3 Year Growth Rate	10.2%
5 Year Growth Rate	10.2%
10 Year Growth Rate	10.3%

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FINANCIAL STATEMENT SUMMARY

USD in Millions	Chart	2019	2020	2021	2022	2023	TTM	CAGR
Income Statement								
Revenue		134,249	153,284	184,903	204,094	227,583	254,190	13.7%
Operating Income		49,323	60,155	78,628	82,815	100,533	113,090	18.1%
Net income		44,323	51,310	71,185	67,449	82,541	90,512	15.4%
Earnings per share diluted		$5.74	$6.71	$9.39	$9.00	$11.06	$12.11	16.1%
Average shares diluted		7,720	7,646	7,575	7,499	7,465	7,471	-0.7%
P/E Ratio		29.8	35.8	37.6	25.8	36.5	35.6	3.7%
Balance Sheet								
Cash		134,253	131,968	125,348	99,495	80,982	78,429	-10.2%
Current assets		167,074	173,973	174,188	157,823	147,393	149,926	-2.1%
Net Property, Plant and Equipm…		48,961	62,035	79,568	96,379	128,706	173,391	28.8%
Working Capital		107,434	106,487	96,678	76,105	26,377	34,726	-20.3%
Net Debt		-57,473	-62,570	-61,316	-39,381	7,392	-16,951	-
Stockholders' Equity		110,109	130,236	160,010	183,136	238,268	287,723	21.2%
Cash Flow								
Operating Cash Flow		54,126	68,028	83,909	84,386	102,647	122,145	17.7%
Cap Ex		-13,546	-17,592	-23,216	-24,768	-35,202	-49,483	29.7%
Free Cash Flow		40,580	50,436	60,693	59,618	67,445	72,662	12.4%
Free Cash Flow per share		$5.26	$6.60	$8.01	$7.95	$9.03	$9.73	13.1%
Profitability								
Operating Margin		36.7%	39.2%	42.5%	40.6%	44.2%	44.5%	3.9%
Return on Assets		16.3%	17.5%	22.2%	19.2%	20.5%	19.0%	3.1%
Return on Equity		40.3%	39.4%	44.5%	36.8%	34.6%	31.5%	-4.8%
Return on Invested Capital		25.1%	26.9%	32.8%	28.5%	26.0%	26.8%	1.3%
Dividends								
Dividends Per Share		$1.89	$2.09	$2.30	$2.54	$2.79	$3.32	12.0%
Dividend Yield		1.3%	1.0%	0.7%	1.1%	0.8%	0.8%	-9.8%
Dividend Growth		-	10.6%	10.0%	10.4%	9.8%	22.1%	20.2%
Dividend Coverage		3.1x	3.2x	4.1x	3.6x	4.0x	4.1x	5.8%

VALUATION & PROFITABILITY HISTORY

Date →		TTM	1 Yr Ago	2 Yrs. Ago	3 Yrs. Ago	4 Yrs. Ago
Price / Earnings		35.6	36.3	24.6	42.5	38.7
Price / Cash Flow		26.3	29.4	20.1	33.9	28.2
Price / Book		11.1	12.6	10.6	18.1	14.2
Price / Tangible B…		22.6	19.3	20.1	30.4	24.8
Price / Sales		12.7	12.8	9.0	15.5	12.0
EV / EBITDA		22.8	24.4	17.1	27.9	22.7
Dividend Yield		0.8%	0.8%	1.2%	0.7%	1.0%
Shareholder Yield		1.2%	1.5%	2.8%	1.8%	2.4%
Gross Margin		69.4%	69.4%	68.3%	68.9%	68.3%
Net Margin		35.6%	35.3%	34.4%	38.5%	32.3%
Return on Assets		19.0%	20.1%	20.2%	21.7%	16.5%
Return on Equity		31.5%	34.9%	40.2%	44.7%	38.5%
ROIC		26.8%	25.9%	30.7%	32.6%	25.7%

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WARNINGS

Name	Severity	Details

We found no investor warnings

REPORT TIPS

Metric Definitions

Metric descriptions are available at
stockrover.com/help/metrics/metric-overview

Quantitative Scores

Our scores analytics is to offer our concise analysis of a stock in powerful, but easy to digest format. Each of the composite score metrics are designed to use the best available accounting practices as well as source data from SEC filings. The scores are computed for a company vs. the market as a whole.

Fair Value

Fair value performs a forecasted discounted cash flow analysis of a company to determine the company's intrinsic value based on the expected future cash flows the company will produce. It basically determines what a company is worth based on how much cash flow it is expected to generate for you in the future, taking into account the time value of money and the predictability of those forecasted cash flows.

Peers

Peer ratings are computed from ranking companies in the same

DISCLAIMER

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